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Legitimation Crisis of Neoliberal Capitalism: An Evaluation of Habermas' and Streeck's Alternatives

Problèmes de légitimation dans le capitalisme néolibéral : une évaluation des alternatives proposées par Habermas et Streeck

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Abstracts

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This research departs from the diagnosis of a dual crisis of neoliberal capitalism, encompassing both economic and political dimensions. In this context, two alternative solutions emerge: Habermas' upward solution in the form of transnational democratization, and Streeck's downward solution, centered on the Keynes-Polanyi form of state. Considering these elements, this paper examines these competing approaches and the Habermas-Streeck debate of the past decade, to assess both projects critically and ask whether either can offer a realistic utopia for our time. After presenting the terms of the debate, I analyze both proposals, considering four issues: (a) the authors' respective conceptions of sovereignty and citizenship, (b) their understanding of the central problem of today, capitalism or the global technocracy, (c) the normative criteria underlying their proposals, and (d) the distinctive issues of Streeck's account. The conclusion reached is that, while both proposals remain unrealistic, the debate illuminates the broader challenges we face and offers direction toward addressing the challenges of our time, highlighting the necessity of rescuing the possibility of democratic life, which has been severely undermined by the advance of globalized neoliberal capitalism.

Cette recherche part du diagnostic d'une double crise du capitalisme néolibéral, tant économique que politique. Dans ce contexte, deux solutions alternatives émergent : la solution ascendante de Habermas sous la forme d'une démocratisation transnationale, et la solution descendante proposée par Streeck, fondée sur le modèle étatique « Keynes-Polanyi ». Cet article examine ces approches concurrentes et le débat Habermas-Streeck de la dernière décennie, afin d'évaluer de manière critique ces projets et de se demander si l'un ou l'autre peut offrir une utopie réaliste

pour notre époque. Après avoir présenté les termes du débat, nous analysons les deux propositions en examinant quatre questions : (a) les conceptions respectives des auteurs en matière de souveraineté et de citoyenneté, (b) leur compréhension du problème central d'aujourd'hui, à savoir le capitalisme ou la technocratie mondiale, (c) les critères normatifs qui sous-tendent leurs propositions, et (d) les questions spécifiques soulevées par l'exposé de Streeck. La conclusion à laquelle nous parvenons est que, bien que les deux propositions restent irréalistes, le débat met en lumière les grands défis auxquels nous sommes confrontés et offre ainsi des orientations pour les relever, en soulignant la nécessité de sauver la possibilité d'une vie démocratique gravement compromise par l'extension du capitalisme néolibéral mondialisé.

Index terms

Mots-clés : capitalisme néolibéral, mondialisation néolibérale, gouvernance mondiale, démocratie transnationale

Keywords: neoliberal capitalism, neoliberal globalization, global governance, transnational democracy

Full text

- 1 The rise and decline of neoliberal capitalism provide the context in which economic crises have once again become a defining characteristic of our time. Streeck ([2013] 2021; 2021) argues, in *Gekaufte Zeit* and more forcefully in his 2021 book, *Zwischen Globalismus und Demokratie: politische Ökonomie im ausgehenden Neoliberalismus*,¹ that recent events point to a legitimation crisis of the state, not only with respect to its citizens, but also with respect to capital.
- 2 Alongside recurring economic crises, our current time is also characterized by democratic crises. These stem from citizens who no longer believe in the promises of neoliberal globalization and who instead feel threatened by it, as well as by other agendas of inclusion and inequality reduction promoted by the very governments that implemented neoliberal reforms. This erodes the once-prevailing consensus that capitalist society would thrive under democratic regimes. Instead, it is foreseeable that the reduction or elimination of the democratic way of life may pave the way either for economic technocracy or for authoritarian regimes (Diamond, 2015; Streeck, 2021; Wolf, 2023). This points out a dual crisis of neoliberal capitalism, a crisis that is both economic and political (Streeck, 2021).
- 3 The challenges of current globalized neoliberal capitalism and the future of the European Union (EU) have fueled a debate between Jürgen Habermas and Wolfgang Streeck, which has reached its most recent chapter with the publication of *Taking Back Control?* (Streeck [2021] 2024).
- 4 This article analyses the arguments of both Habermas and Streeck, focusing on Habermas' "upward solution" ("Ausweg nach oben") and Streeck's contrasting "downward solution" ("Ausweg nach unten"), which Streeck also labels the "Keynes-Polanyi state model". My objective is to assess which of the proposals better addresses the challenges of our current time, and whether either is truly capable of doing so. In particular, I will consider which of the two may constitute a realistic utopia.
- 5 This article is organized into four sections. Section 1 outlines the problem related to the dual crisis of neoliberal capitalism. The following two sections provide introductions to Habermas' and Streeck's solutions. Section 4 presents the Habermas-Streeck debate and evaluates both proposals.

1. The Problem: The Dual Crisis of Neoliberal Capitalism

6 The post-World War II consensus held that capitalism had been tamed and that Keynesian policies provided the recipe for sustained growth, based on full employment, thus guaranteeing prosperity not only for the wealthy but for society as a whole. This consensus, which marked the period of the *Trente Glorieuses*, was later displaced by neoliberal capitalism and its “neoliberal globalization”.²

7 As Streeck (2021) observes, the “neoliberal revolution” challenged the post-war consensus on the state’s essential role as a mediator between capital and labor. It argued that the state was the factor preventing economic growth and that its interventions had more harmful effects, which were especially evident in terms of low growth and inflation.

8 Despite the promises of market liberalization policies, i.e., economic growth and prosperity, a more suitable mechanism for the allocation and distribution of goods and services, and that everyone would benefit when the rich have room to get even richer, it turns out that in the world of neoliberal capitalism, there has been an unequal growth in income and property, fostering economic inequalities (Piketty [2013] 2014; [2019] 2020; 2022).

9 At the turn of 2007 to 2008, the world experienced a crisis that began in the financial markets and quickly spread globally, forcing states to rescue the very institutions that had caused it, because they were deemed “too big to fail”. The rescue packages adopted by the central countries trapped them, from which they would fall prey to the financial market they had just rescued, especially in the European context, back in 2011. This strategy of “buying some time” came at a high cost (Streeck, [2013] 2021).

10 Although these crises erupted more than a decade ago, their repercussions continue to unfold. Since then, the global economy has failed to return to high growth rates, while the Covid-19 pandemic, the rise of new authoritarian regimes, and the episodes of armed conflict have added further disruptions to the global order. These events put in question not only neoliberal capitalism but also the democratic system itself (Streeck, 2011; [2013] 2021; 2021). Yet neoliberal capitalism persists, like a zombie, to use Nunes’ (2022, 55-56) metaphor: “staggering, eyes glazed, repeating slogans mechanically—but standing”.³

11 Streeck (2021) emphasizes that the crisis plaguing democratic societies is twofold: not only an economic crisis, but also a political one. Economically, it is a crisis of stagnating growth; politically, it is a crisis of trust in institutions and politicians, opening space for radicalism, particularly on the far-right.

12 The crisis is related to the changing relationship between the state and the economy, as well as between capitalism and democracy. The triumph of neoliberalism also contains its own crisis: without state support, the capitalist machine cannot maintain continuous growth and rising profit rates. Conversely, the state and politicians, lacking credibility and constrained by neoliberal prescriptions, have been unable to implement effective measures to promote growth (Streeck, 2021).

13 Wendy Brown (2015; 2019) explains how neoliberalism has undermined the foundations of democratic society. Neoliberal rationality reshapes all aspects of life in economic terms, silently dismantling the basic elements of democracy: vocabularies, principles of justice, political cultures, civic habits, and democratic imaginaries. In other words, neoliberal reason has spread to all spheres, not just social, but also within the state structure, extending beyond political discourse to administrative and judicial practices, education, and culture, which are increasingly reframed into economic terms. This goes beyond the perspective of conforming democracy to markets, since this silent revolution erodes the basis on which a democratic society is possible.

14 Brown (2019) notes, however, that the convergence between neoconservatives and neoliberals was not a coincidence, but rather a strategic alliance. Neoliberalism carries a conservative moral component, which makes the current situation a Frankensteinian creature of the “neoliberal revolution”. Neoliberalism has not only raised the hackles of the masses, both due to the harms produced by neoliberal globalization, and because of it deconstructed the foundations of social and political life, but has yielded results that its proponents did not anticipate.

- 15 The plan to replace democratic politics with the reign of a legally guaranteed market mechanism has suffered, due to its political deficit. After all, both neoliberal theory and practice disregarded the political and democratic spheres, to an extent that prevented them from theorizing about both domains; this left the neoliberal project vulnerable, not only to the interests of market domination by big companies, but also to the rise of radical groups with their anti-identity, religious, and ultraconservative agendas (Brown, 2019).
- 16 The challenge is to locate, if it exists, a path out of the tunnel. This should address both the economic and political crises: that is, finding how to restore democracy in a way that it can be capable of dealing, on the one hand, not only with the problems faced by the democratic system; but also, on the other hand, to create a mechanism whereby policies not only of recognition but also of distribution are democratically deliberated. This means, find a way in which fundamental political decisions with an economic impact are first democratically resolved, and secondly, searching for the best use of economic rationality.
- 17 What, then, are the possible solutions? I rule out the possibility of a simple return to the dimension of national states, as there are issues that can only be solved beyond their limits, such as globalized capitalism, climate change, international migration, or the influence of big tech companies.⁴
- 18 I also eliminate the possibility of a return to the capitalism of the *Trente Glorieuses* and its Bretton Woods system of inter-state coordination in international relations, as pointed out in some literature critical of neoliberal globalization and aware of its announced crisis (Bello, 2004; Reich, 2016; Streeck, [2013] 2021).⁵
- 19 This leaves two main alternatives to be evaluated: the upward alternative, in the form of democratizing international relations and international institutions, represented by Habermas (Section 2).⁶ The other solution moves downwards, in the sense of recovering national sovereignty, but combined with the integration of states close to each other through regional planning. This is the proposal of a Keynes-Polanyi model of state and international relations, advanced by Streeck (Section 3).

2. The Upward Solution: Transnational Democracy?

- 20 I refer to Habermas' proposal as an "upward solution" ("Ausweg nach oben"), which entails democratizing international institutions to address the problems related to global technocracy. Habermas has been one of the leading voices advocating this position, a hallmark of his writings since the 1990s. Especially in the context of the European Union (EU), Habermas ([1998] 2001; 2013a; 2013b; [2011] 2014; [2013] 2015) has promoted transnational democracy as a way to reduce the democratic deficit in international relations and the dangers of the administrative power of technocrats. He also advances arguments for international integration beyond the limits of the EU.
- 21 Habermas (1998; [1998] 2001) argues that transnationalizing certain activities traditionally reserved for nation-states is necessary to address the challenges of a globalized economy, which reduces the capacity of states to act. His solution is to transpose part of the state's functions to the transnational level, thereby enabling the effective promotion of political agendas of common interest. As Habermas ([2011] 2014; [2013] 2015) emphasizes, the aim is to encompass not only *policies* but also a conception of *politics* at the international level. To this end, Habermas proposes a way of changing course towards internal world politics ("Weltinnenpolitik") without relying on a world government (Habermas, [1998] 2001).
- 22 Habermas presented his solution more clearly when European institutions gained greater prominence, not only through the Lisbon Treaty but above all in response to the public debt crisis. His proposals are twofold: one addressing the European case (2.1) and the other concerning global democracy (2.2).

2.1 Habermas' Proposal for European Political Union

- 23 Habermas (2013a; 2013b; [2011] 2014; [2013] 2015) argues that it is possible to construct a transnational democracy, a supra-state order enabling the formation of a common European government, in which citizens have a dual citizenship: on the one hand, as citizens of the common government, that is, a European citizenship; and, on the other hand, as citizens of their respective nation-states (e.g., Portuguese or Italian), represented by governments mandated to constitute those states as EU members. Thus, democratic legitimacy extends beyond national boundaries, to a political community that is not itself a European state.
- 24 If a European constituent assembly was composed of European citizens and European peoples (nation-states represented by elected delegates), then it would embody the legitimizing force of a "shared" popular sovereignty, which would thus be transferred to a supranational collectivity.⁷ In other words, in Habermas' view, this does not mean creating a European superstate or even a federation, but rather establishing a new institutional form, in which the three pillars of political order are present in a transnational context. These three pillars are the junction among: the "people of the state" ("Staatsvolk"), the bearers of the formation of political will; the political order, which enables the collective action; and the "constituted civil community", formed by the voluntary association of free and equal persons (Habermas, [2011] 2014).
- 25 The obstacles to the constitution of a European federation come from the constituent assembly itself, since nation-state representatives act within the limits of the mandate given by their citizens. In other words, to take an example for the sake of clarity, Portuguese citizens would present themselves as European citizens, and the elected representatives of the Portuguese Republic would carry a conditional mandate forbidding them from joining a federal state or a European superstate.
- 26 According to Habermas ([2011] 2014; [2013] 2015), this model of transnational democracy enables both citizens and nation-states (already constituted by their citizens) to participate on equal footing, offering a basis for integrating the elements of this new transnational order. For Habermas, nation-states, as members of a supranational democracy, act as constituent powers, retaining competencies within their constituted collectivities and serving as guarantors of the level of freedom already realized in the European context. They retain their "state substance", including the monopoly on violence and public administration.
- 27 Habermas ([2011] 2014) argues that such an arrangement could preserve the existence of nation-states, even as they participate in a transnational political community, provided safeguards are in place to prevent the distortion of the order. Such safeguards would include: the possibility of leaving the political union; the requirement for unanimity for future constitutional amendments; and constitutional review by national courts (Habermas, [2011] 2014).
- 28 Furthermore, the European Political Union (EPU) would function based on equal participation of European citizens and nation-states in the formation of the EPU government, as well as the committee formed for the government before the European Parliament and Council, and the equal participation of both institutions in the legislative process. In other words, citizens do not merely participate in the founding act of the EPU, as a counterpart to the current European Monetary Union (EMU), but are also part of democratic life, lending legitimacy to the political decisions made within the Union (Habermas, [2011] 2014).
- 29 The transnational political community would not concentrate sovereignty; instead, it would establish an arrangement of shared sovereignty between nation-states and the transnational political community, delineating how competencies are distributed between them. This would combine the advantages of a supranational collectivity that is both democratic and capable of action (Habermas, [2011] 2014).

- 30 The basis for the commitment of European citizens and national states to build an EPU lies in the obligations of solidarity among European states and citizens.⁸ In line with Habermas' ([1992] 1998) argument about solidarity within a state in *Between Facts and Norms*, Habermas ([2011] 2014; [2013] 2015) maintains that solidarity is a political category denoting a bond within the social fabric. It underlies the expectations that go beyond what is strictly required, grounded in trust that the other party will act reciprocally in the future. This distinguishes solidarity from law or morality. Whereas morality and law refer to the equal freedoms of autonomous individuals, solidarity refers to the common interest in sustaining a common political way of life, which also encompasses one's own well-being.
- 31 Although solidarity is sometimes obscured by nationalism, lending some to regard it as a pre-political ethicality, Habermas ([2013] 2015) rejects this interpretation. Solidarity can manifest in a European context, where European citizens recognize the urgency of building a common political order, which will make it possible to regulate economic processes and soften their negative effects. Solidarity builds on the fact that citizens of more affluent states have a legitimate expectation that citizens of less fortunate states within the EMU would adopt the same behavior in a future time of need.
- 32 Habermas ([2013] 2015) considers that solidarity does not necessarily refer to an existing context of life, but rather to a context of life that is presupposed and politically configurable. Therefore, it is possible to speak of European solidarity and, along these lines, to base the need for an EPU on the solidarity of the citizens of the states that currently comprise the EMU.

2.2 Habermas' Proposal for Global Transnational Democracy

- 33 Habermas ([2011] 2014; [2013] 2015) also advances a concept of global politics, extending beyond European borders. Although he finds no dual citizenship at the global level, he notes traces of states' subordination to a higher order in the evolution of international criminal law and in the institutional framework of the United Nations (UN).
- 34 Mirroring the long process of European unification, Habermas ([2011] 2014) envisions reforms of existing international institutions, especially the UN and its Security Council, to reflect "global internal politics" through a transnational democracy. Thus, the UN, the Security Council, and the international courts should be reorganized as a politically constituted community of states and citizens, with its activities limited to the core functions of guaranteeing peace and the global enforcement of human rights.
- 35 A more ambitious goal is to establish a normatively integrated negotiating system for the world community, focusing on pressing issues of global internal politics, including environmental concerns, climate change, the risks entailed by new technologies, the regulation of financialized capitalism, and distributive problems arising from the globalized economy. Habermas argues that both political will and actors capable of acting globally ("global players") would be appropriate members to form such an institution are lacking.⁹
- 36 To address this challenge, Habermas ([2011] 2014) emphasizes the need to establish a community of world citizens ("Weltbürgergemeinschaft"). Mirroring the EU case, this would involve constituent cooperation between citizens and states, such that a cosmopolitan community complements the current international order. This would make possible a form of dual citizenship at the global level. Yet, once again, Habermas does not envision a world republic, but a supra-state association of world citizens and state peoples.
- 37 Thus, a reformed UN General Assembly would bring together not only state representatives but also those of world citizens, ensuring that competing perspectives on justice are taken into account. This would balance the egalitarian motives of world

citizens (seeking equal treatment and distributive equality) with the motives of state citizens (preserving freedoms already realized at the national level).

38 This renewed General Assembly would be tasked with setting minimum mandatory standards for developing the UN Charter, human rights covenants, and international law, specifically: (a) providing the legal basis for human rights policy and for the guarantee of peace (enforced by the Security Council and the Global Courts); (b) committing nation-states to realizing the fundamental rights of their citizens; and (c) impose normative limits on the decisions of internal world politics in the transnational sphere, as a brake against hegemonic power.

39 The greatest challenge lies in expanding solidarity globally, as a bond that unites citizens of different countries as world citizens. This is because the linkage of world citizens through the communicative spaces of a global public sphere lacks the common political culture found in nation-states, and, even, to some extent, in the European context. Thus, the transnational expansion of solidarity on a global scale represents the greatest empirical challenge to global transnational democracy. Habermas views the UN's role in prohibiting violence and securing human rights as primarily legal rather than political, as human rights embody the portion of moral universalism that can be translated into coercive law.

40 Restricting the reformed UN to legal and fundamentally moral matters, such as human rights, deflates the UN's claims to legitimacy. Global norms allow every citizen of the world to form a morally informed judgment on the work of UN bodies. Yet the justification of their decisions rests on legal criteria, without a collective formation of will in the proper political sense (Habermas, [2011] 2014).

41 Habermas ([2011] 2014) further notes that this path to legitimization pertains to the UN's role of guaranteeing global security and the effectiveness of human rights. The scenario is far more challenging in terms of internal world politics, particularly with respect to distributive measures. In this sense, comparison with the EPU reveals that the global order is weaker in terms of legitimacy, since internal world politics, without direct participation in the world parliament, remains in the hands of global players rather than parliamentary states and world citizens.

42 Despite this limitation, Habermas ([2011] 2014) argues that, under his proposed model, transnational relations among global players would diverge from the trends observed so far in international law. Thus, assigning global security and human rights to a redesigned UN would alter the ability of powers such as the United States to wield hegemonic influence over global geopolitics in these domains. Although weakening the ability of the United States to present itself as a defender of global security and human rights would reduce its hegemonic power, it remains unclear how this would alter deliberations on global domestic policy, beyond the ways international treaties are currently negotiated and implemented.

3. The Downward Solution: Regional Planning

43 I now turn to Streeck's solution, which involves regional integration between states. This integration does not aim for global governance on a regionalized scale.¹⁰ Instead, it grants states greater power and capacity to act, compared to a model of international relations without integration. Streeck's (2021) proposal is based on a Keynes-Polanyi form of state, a proposal of a structure of small states ("Kleinstaaterei") united, but not unified, around a common organization.

44 The foundation of the Keynes-Polanyi state model, as the name suggests, lies in the contributions of Keynes and Polanyi, though not in their best-known works. Instead, it draws on articles published by Keynes after World War I and by Polanyi after World War II. This section briefly present Keynes's and Polanyi's contributions (3.1), and then examines the Keynes-Polanyi model of the state and international relations (3.2).

3.1 The Keynesian and Polanyian Elements of Streeck's Proposal

45 Keynes, in his "National Self-Sufficiency" (1933), identifies himself, along with other Englishmen, as a defender of free trade grounded on the theory of comparative advantage. However, his understanding of the subject changed considerably after World War I, the collapse of the gold standard, and especially the 1929 Crisis.¹¹ In this context, Keynes revisits what he calls "the legacy" of the 19th century, and concludes that the consensus of the liberal capitalist international order had to be altered at the turn of the century. For Keynes, all promises of 19th-century capitalism had not been fulfilled. In the post-war and post-crisis context, it was therefore necessary to recognize national self-sufficiency not as an end in itself, but as a value to be defended as a means of creating an environment in which new ideas and alternatives could be developed and pursued. In this sense, Keynes (1933, 4-5) envisions the opportunity for experimentation in creating an "ideal social republic of the future."

46 Polanyi's "Universal Capitalism or Regional Planning?" (1945) was written amid the political and economic uncertainty following World War II, which provided an opportunity to imagine alternative models.¹² Polanyi looks at what he calls the "organization of international life" and, with it, the post-war geopolitical world.

47 Observing the international division of powers established by the winners, Polanyi (1945) identified two paths: a return to 19th-century *laissez-faire* capitalism, pursued by the US, and a new form of international relations, represented by Great Britain and the Soviet Union. For Polanyi (1945), the end of World War II entailed more than just returning to peace, but also the demise of three universalist projects: *laissez-faire* capitalism, global revolutionary socialism, and racial domination.¹³

48 Since all countries inherited from *laissez-faire* capitalism a foreign sector of the economy ("foreign economy"), virtually identical across nations, Polanyi suggested that this similarity could serve as the basis for a new pattern of international relations. Such a pattern would involve regional systems coexisting side by side, establishing common rules for issues of regional economic interest, without requiring a global order, yet going beyond mere bilateral relations.¹⁴

49 Polanyi emphasized the necessity of an international system that would enable national economies to integrate with the global economy, ensuring equitable distribution, stabilizing prices, and guaranteeing full employment across countries. "The alternative to the reactionary Utopia of Wall Street is the deliberate development of the new instruments and organs of foreign trading, lending and paying, which constitute the essence of regional planning" (Polanyi, 1945, 6).

3.2 The Keynes-Polanyi State

50 Drawing on these ideas of Keynes and Polanyi, Streeck (2021) outlines an alternative path: one that emphasizes the role of nation-states as bodies endowed with the capacity for democratic self-government. Such states can not only distinguish between the economic and the political, but also guarantee the primacy of society over capitalism, seeking the re-embedding (*Rückbettung*) of capitalism into society.

51 Two elements are fundamental here. First, states remain the body that allows democratic citizenship to be exercised, a citizenship capable of forming a democratic will to control capitalism and shape it in accordance with society. Second, the state has sovereignty, which enables the democratically constructed will to be applied within national territory. Of course, one cannot be so naïve as to ignore that attacks on national sovereignty have been recurrent in recent history. Thus, genuine sovereignty requires a non-imperial global order, so that state sovereignty is not reduced to a mere *façade*.

52 According to Streeck (2021), the Keynes-Polanyi state emerges as a structure that maintains a friendly distance from economic and political relations with other states. Friendly, since there is an openness to exchange and cooperation; but at a distance, insofar as the state protects the freedom of choice and trade of its population. The state seeks to protect the politically represented community from any dependency not democratically chosen, thereby ensuring citizens' ability to form a political will with significant consequences.

53 In balancing internal and external relations, the state prefers to internalize economic and trade relations, even at greater economic costs, if these costs yield gains in other areas relevant to society.¹⁵ Although oriented toward self-sufficiency, this does not entail isolationism. There remains room for free markets, but only insofar as they regulate foreign economic relations in ways that can be adjusted to preserve national autonomy or, whenever necessary, to secure citizens' welfare.

54 The Keynes-Polanyi state is thus characterized by the interaction between the state and the world, between domestic relations and foreign relations. This promotes a balance between the internal and external complexity of state relations, which provides an answer to the question raised by Herbert Simon¹⁶ (1962) about the correct balance between the two.¹⁷

55 According to Streeck (2021), this form of state could facilitate the construction of a different international order—one that is horizontal rather than vertical—a cooperative-confederal order of states willing to cooperate. Cooperation would initially stem from regional interests and later extend to relations with other regions.

56 In Keynes-Polanyi states, political economy is the result of fragile, historically contingent, and territorially localized compromises between the dynamics of capitalist accumulation and social life. In this sense, the Keynes-Polanyi state opens a path for states seeking their own "ideal social republic", based on different ways of structuring the relationship between capitalism and democracy. Thus, compromises between capitalism and society will vary across states, depending on internal and external conditions that render one form more favorable. These compromises will remain subject to democratic and political decision-making (Streeck, 2021).

57 Streeck (2021, 442) does not intend to provide an answer to the question about 'how' such a state could be formed, or 'how' it might relate to other states. By contrast, Streeck argues that it is easier to state what a Keynes-Polanyi state would *not* be—for instance, it would not be a member of the EMU.¹⁸

58 In advocating this model, Streeck (2021) argues that: (a) small states have an advantage over larger ones, (b) the Keynes-Polanyi state does not entail a return to patriotism, and (c) the Keynes-Polanyi state may have a better capacity for action, and thus it could cope more effectively with both political and economic crises compared to previous systems.

59 Streeck's (2021) first point is a defense of small-state structures ("Kleinstaaterei"). Economically, it is often assumed that larger states outperform smaller ones, as larger states gain advantages from scale. Streeck, however, argues the opposite: there is a negative correlation between economic performance and state size. He cites evidence that the smaller EU countries display higher average growth rates, less economic inequalities, and less public debt-to-GDP ratios than medium-sized or larger ones.¹⁹

60 Drawing on Jörke (2019), Streeck (2021) argues that democracy also tends to function better in small states than in larger ones. Larger states are more diverse, and such diversity undermines the ability to form a common will, thereby weakening democratic will-formation and increasing the need for centralized control.

61 A second point is that pursuing national self-sufficiency (reduced external dependence) does not necessarily imply nationalism or a new patriotism. The model remains open and connected to the world. The key issue is leaving open the possibility of global capital mobility and allowing the "foreign economy" to be driven by self-regulating market mechanisms. This state model does not prevent cosmopolitanism or interstate collaboration.

62 Third, the Keynes-Polanyi model of the state could foster new political capacities by emphasizing the democratic and sovereign characteristics of the state. This process could be promoted by a revitalization of democracy, entailing better conditions for addressing today's challenges. In this sense, Streeck (2021) identifies five tasks for the Keynes-Polanyi state: (a) shorten global value and supply chains and restructure production territorially, (b) adopt protectionist measures, (c) internalize the production processes by strengthening domestic markets, (d) safeguard the foundational economy, and finally, (e) reduce external dependence.

63 The first task is to shorten global value and supply chains, promoting partial autarky to avoid the risk of external dependence or to minimize reliance on countries whose competitiveness is driven by human rights violations. Value and supply chains are thus not merely economic issues but also matters of national productive capacity, job creation, and reduced technological dependence (Streeck, 2021).

64 The second task reflects a more protectionist orientation, reducing dependence on foreign production. This involves not only national planning but also regional planning with neighboring and partner states (Streeck, 2021). A process of despecialization is needed to end the blind dominance of the economies of scale. This regression of production to the region corresponds to the principle "make more and buy less". Although Streeck insists on this point, he appears to be referring to a policy of import substitution, along the lines advocated by developmentalism at the UN Economic Commission for Latin America and the Caribbean (ECLAC).²⁰

65 The third task is to promote internal growth through domestic production for domestic consumers, improvements in public goods and services, and investment in domestic research and development, thereby reducing dependence on foreign technology (Streeck, 2021).

66 The fourth task is to safeguard the "everyday life economy" ("Ökonomie des Alltagslebens") or the "foundational economy": that is, the physical and social networks that allow society to function, which involves the set of goods and services that enable an everyday modern life in a contemporary society (e.g., the public transport system, the healthcare system, social security, schools and the university system, among others). These goods and services are public by nature and are either provided directly by the state or by private suppliers under state regulation; thus, they are subject to democratic choice. In this sense, they can be considered goods and services belonging to a "communism of the everyday" within a still capitalist order (Streeck, 2019).

67 Lastly, the Keynes-Polanyi state must reduce its dependence on global capitalism. This entails limiting exposure to and dependence on foreign capital inflows by withdrawing from international rules on free trade and capital mobility. This also includes fighting tax evasion and promoting capital controls, as well as cultivating the country's own capital through common ownership or cooperatives, minority state participation in strategic companies, and new forms of ownership for housing purposes, whether individual or collective. All these possibilities, within and beyond the current spectrum of capitalism, are open and available for discussion within the Keynes-Polanyi state model.

68 Together, these measures point to a radical re-democratization of capitalism, an effort to render the capitalist economy compatible with a consolidated egalitarian public opinion, which could indicate the construction of a participatory economy ("Beteiligungsökonomie"), a form of economic democracy, which drives the material reproduction of society. Rather than focusing solely on political *input* and social *output*, Streeck urges attention to "*throughput*", the processes of producing collective goods through socialized work (Streeck, 2021).

69 Democracy in the Keynes-Polanyi state model then points to a regime in which citizens assume responsibility for their own destiny, as self-defense and self-administration are jointly pursued through active social interests and solidarity. As Streeck puts it: "Stability and governability are the trump cards; 'resilience' is the highest priority, to make the economy adapt to society, not the reverse" (Streeck, [2021] 2024, 282).

4. Evaluating Habermas' and Streeck's Solutions

Habermas and Streeck identify two pathways to address the dual crisis of neoliberal capitalism. Habermas proposes an “upward solution”, recognizing that confronting globalized capitalism requires transposing democracy onto international bodies. Following the trajectory of his writings, especially after *Between Facts and Norms*, his focus on democratic legitimacy rooted in democratic law led him to advocate for the constitutionalization of international law.²¹

Streeck, by contrast, advances a “downward solution”, calling for a return to the national state in an effort to revive political economy (Streeck, 2014), and problematizes the relationship between capitalism and democracy, specifically how this link, broken by the evolution of neoliberal capitalism, might be restored. This framing turns the debate into a tug-of-war between two irreconcilable conceptions of the state and the potential of a post-state international order.

In this section, I evaluate both proposals. Since both move in a utopian direction, I will consider which, if any, point toward a “realizable utopia”. The burden of proof rests especially on Streeck, given that Habermas' proposal has already undergone extensive scrutiny and criticism, including from Streeck himself (2017b).

What follows is an evaluation of key elements. My aim is not simply to compare the two models and their proposed outcomes; after all, such a comparison is not straightforward, given their different assumptions. Ultimately, both authors value democracy as the form of government capable of formulating and validating a political order distinct from the current system of states. I will therefore examine key elements that clarify both proposals and their shortcomings, with particular attention to Streeck's latest contributions, since Habermas' have already been extensively evaluated over the past decade.

4.1 The Issue of Sovereignty and Citizenship

The issue of sovereignty and citizenship is the point where the differences in Habermas' and Streeck's accounts are more perceptible. Habermas emphasizes both the possibility and the necessity of extending sovereignty beyond the state's boundaries, advocating for its expansion through the democratization of international institutions. Here, his concept of dual citizenship comes into play. In his review of *Buying Time*, Habermas ([2011] 2014; [2013] 2015) criticizes Streeck for having a narrow concept of sovereignty, which allegedly underlines Streeck's fear of a repressive centralization of competencies around the EU.

For Streeck (2013; 2014), Habermas envisions a re-founding of Europe, an *ab ovo* “second foundation”, that disregards the EU's last thirty years “as if what is and what has come about had no meaning for what is to grow out of it in the future” (Streeck, 2014, 217). This, he argues, minimizes the difficulties, as if the only issue were to enlarge the existing EMU to a EPU. He deems it illusory to expect that the very agents who helped establish the EU and the EMU would support the reforms that Habermas envisions.

Streeck (2014) further contends that such a political union, even if constituted in democratic terms, may not address the central issue: the relationship between democracy and capitalism, as well as between political institutions and the market. The EPU, he warns, will become more of the same, carrying forward neoliberal policies: “What would then be called ‘European democracy’, with parliament, government, public sphere and whatever, would be nothing but a further layer of post-democratic paralysis imposed from above on national post-democracies” (Streeck, 2014, 217).

In *Taking Back Control?*, Streeck (2021) reiterates that sovereignty can only be exercised within state boundaries. For him, any supranational order endowed with

sovereignty necessarily implies a superstate, and thus the hegemony of one or a few nations among others, whether in the EU or globally. For Streeck, therefore, there is no viable alternative in the form of a supranational political order. Such a supranational order would conform more to a neoliberal government than to provide effective instruments to tackle the problems motivating its constitution. Citizenship, in his view, can exist and be exercised only within the confines of the nation-state.

78 I align with Streeck here: although Habermas' argument may be compelling in expanding our political imaginaries, it does not adequately address the challenges of our time, particularly in light of recent events such as Ukraine's invasion, the conflict in Palestine, and Trump's re-election. It does not look feasible to consider the possibility of a transnational political order in our current time. A focus on nation-state sovereignty and its attendant conception of citizenship appears to be a more realistic approach.

4.2 Is It a Matter of Capitalism or Technocracy?

79 The second aspect concerns identifying what is wrong with the current order, which necessarily requires a different perspective on the possible solution.

80 Reviewing *The Lure of Technocracy*, Streeck (2017b) criticizes Habermas for failing to address the economic interests underlying European politics, assuming instead that politicizing European institutions could follow from the EU constitutional project. He contends that Habermas' arguments read as if we were still in the social-democratic 1980s or the Third Way 1990s: "that a future European democracy enshrined in a European constitution will as a matter of course come with a primacy of European politics over European and, indeed, global capitalism" (Streeck, 2017b, 247).

81 Streeck (2017b) further argues that Habermas presents a technocratic conception of European democracy, which remains "strangely vague" in describing how a re-founded Europe could be distinct from the current technocratic form. Habermas' approach, he concludes, leaves more open questions than it provides answers about the status of an EPU under democratic principles, and about the nature of a European transnational democracy.

82 Streeck (2017b) claims that the blind spots in Habermas' conception stem from his own definition of capitalism, based on his theoretical construction since *Theory of Communicative Action* and especially after *Between Facts and Norms*. At a certain point, Habermas would have guaranteed immunity from the globalized capitalist economy by redefining the interests related to capitalism into "problems" that demand technically correct solutions. Thus, the problem is not globalized neoliberal capitalism itself, but the technocracy that manages it, as if capitalism were something like a natural force:

Indeed ultimately, it is not capitalism that is the problem in Habermas' Europe, but its management. What is wrong with the Europe of monetary union, Habermas implies, is not that it is pro-capitalist, or subservient to capitalist interests, but that it is—contingently—non-democratic, thereby subverting the struggle against the real enemy, nationalism (Streeck, 2017b, 251).

83 Thus, democracy would emerge to address the demands of ordinary people, considered as decision-makers, meeting systemic needs and reattributing legitimacy to the system without confronting the demands of profit-dependent classes, which favor their interests to the detriment of the rest of society. Streeck (2017b, 252) concludes that: "There is no way one can talk about European democracy without talking about capitalism".

84 At this point, Streeck's criticisms are partially correct, since Habermas indeed focuses more on technocracy than capitalism. Yet, it is unfair to accuse him of legitimizing capitalism and of privileging Europe over nationalism. Habermas ([2011] 2014; [2013] 2015) emphasizes a perspective in which citizens, in their dual role, remain both citizens of their states and of an EPU, which is not just a *façade* democracy. And as

Pinzani (2022) notes, Habermas did not exempt capitalism from critique. Still, he portrays it as an inevitable force, making it the task of a transnational political project to mitigate the negative consequences of globalized capitalism, much like confronting a natural catastrophe.²²

85 Streeck, on the other hand, clearly assumes that the challenge of our time is not the global technocracy itself, but rather the divorce between capitalism and democracy, which strips citizens of their control over their own future. He assumes the Polanyian challenge of re-embedding capitalism in society, an approach that is necessary today.

4.3 The Issue of the Normative Criterion

86 Another point of evaluation concerns the normative criteria underlying both proposals. Habermas ([2011] 2014) seeks to present new perspectives on sovereignty and citizenship, as well as the perspective from which the bond between citizens of different nation-states, united under a common political order, can be constituted, based either on solidarity (in the European case) or on the recognition of human rights (at the UN level).

87 What, then, is the normative basis for Streeck's proposal? This is a question Streeck leaves unanswered. As it was already evident in *Buying Time*, the strength of Streeck's diagnostic lies in his ability to integrate economic, sociological, and philosophical literatures, enabling him to develop a comprehensive reading of contemporary reality. *Taking Back Control?*, in this sense, is a far more extensive effort.

88 However, when proposing a solution for re-embedding the economy and society through democratic control of markets, Streeck (2021) takes Keynes' and Polanyi's proposals as his starting point. Building on that, he presents an alternative model, but without clarifying the grounds on which such a proposal would actually be desirable. He is guided by the principle that the greater the social order, the greater its complexity and the lower the capacity to manage this social form—following Simon (1962). The result of this is not only the opposition to a transnational political order, but also the recurring defense in the book that smaller states are better able to deal with the challenges of modern life than large states. This begs the question: What about the fact that the world is made up of several large states? This is a question I will address later.

89 This may also suggest that Streeck is nostalgic for a time when solutions for containing capitalism were readily available to the state, a period when, although capitalism was already functioning globally, neoliberal globalization had not yet emerged, with the advance of multinational companies, financialization, and global governance mechanisms. These factors have made it unlikely that a simple return to democratic national sovereignty could adequately address the challenges posed not only in the context of the dual crisis of neoliberal capitalism, but also in addressing other issues, such as climate change or regulating big tech companies. This nostalgia for the sovereign nation-state has repercussions in the context of a model of states that implement regional policies, without, however, ceding sovereignty to supra-state bodies.

90 One might consider that Streeck's normative foundation lies in his emphasis on democracy as an instance capable of collective decision-making, of exercising popular sovereignty. However, Streeck (2021) does not clarify what democracy means, nor does he outline its normative foundation. Indeed, Streeck does not conceive of democracy as a mere mechanism for aggregating individual preferences, nor does he unquestioningly trust in the representative-democratic model. Still, Streeck does not make it clear what model of democracy could exist within a Keynes-Polanyi state, even though there are occasional criticisms of a deliberative perspective on democracy, as part of Streeck's criticism of Habermas' proposals.²³ Streeck makes a comparison between social democracy and liberal democracy, but he does not delve deeply into these elements to discuss a democratic basis for his theory. He does not even define more precisely what is meant by a social democracy within a capitalist society.

91 Streeck (2021) also points out that the Keynes-Polanyi state model could allow democracy to effectively represent citizens' responsibility for their collective destiny, a form of self-defense and self-government that would allow self-responsible community practices. However, he does not answer how democracy would enable these objectives to be achieved. Or, even, whether democracy is not another instance captured by neoliberal capitalism to such an extent that it is unfeasible to expect that citizens would democratically prefer the path of national self-sufficiency and regional planning over a globalized capitalism that promotes global governance instead of democratic popular sovereignty.

92 In the debate between Habermas and Streeck on democratic theory, Streeck presents the greater challenge, one I am not sure he fully addresses, namely, articulating what his democratic theory would be or even what democratic tradition would serve as its foundation. This is a significant shortcoming for an author who aims to revive the possibility of democratic action against neoliberal globalism. Habermas, on the other hand, presents his proposed solution based on a lengthy discussion of democracy among his works, with greater emphasis in *Between Facts and Norms*. This discussion is also present in other texts, such as the essay "Three Normative Models of Democracy" (Habermas, 1994), which has recently been reassessed (Habermas, 2022).

93 If Streeck (2021) does not believe that a deliberative perspective on democracy can meet the challenges posed by the dual crisis of neoliberal capitalism, he does not present an alternative democratic model. He is thus unable to propose an effective solution to the political crisis. Faced with a context of fragmented societies, a resurgence of different far-right-wing or even anti-democratic movements, and faced with the destruction of the foundations of democratic society, as Brown (2015; 2019) discusses, how is it possible to emphasize democracy as a value to be defended and as a fundamental element for the re-embedding of the economy within society?

94 Considering the foregoing, one question that arises is why democracy is important to Streeck. Is it because democracy provides the best mechanism for controlling the process of expanding capitalism and the neoliberal project of global governance, i.e. a consequentialist defense of democracy? Or does democracy matter as a value in itself, and should the re-democratization of society be promoted and democracy be provided with effective means to control capitalism? This question is relevant because if we look at it from a pragmatic or realistic point of view, the country that has shown the greatest success in planning the process of capitalist expansion is China, which does so knowingly without being committed to a democratic project.

95 If the aim is solely to control capitalism, regardless of the cost or the consequences, an authoritarian government is often more effective than a democratic one. If the Chinese government were to decide, at a given moment, to adopt measures to mitigate the impact of Chinese carbon emissions, it would certainly be able to do so quickly and impose the decision on all its companies. The same could be said of a government decision to control or break up all the big tech companies whose databases had control over Chinese citizens. Incidentally, it is worth noting that US big tech companies are not even allowed to operate in the country, which reinforces the point that, if the aim is to solve the world's problems, a government like China may appear better equipped to act than a democratic government.

96 Considering *Taking Back Control?*, as well as Streeck's (2017a; 2019) previous works, democracy is relevant in itself, which encompasses much more than an instrumental value in controlling capitalism. Streeck would not accept that an authoritarian regime would be justifiable if it were provided with the means to control the continuous expansion of capitalism and the process of commodifying everything with it. The problem, however, as Brown (2015; 2019) argues, is that neoliberalism has undermined the very foundations of democratic life, and, therefore, the empty hope in a democratic solution, or that citizens, if they could, would democratically force their governments to adopt the necessary measures to control capitalism, to contain the climate catastrophe, or even to control big tech, is not an adequate prognosis.

97 A reason is needed for a democratic perspective, and, in this sense, Habermas brings more elements that justify his argument for transnational democratization, even though both Habermas and Streeck do not have an answer about how it is possible to rebuild the *demos* after these conditions have been shattered by the dual crisis of neoliberal capitalism.

4.4 Problematic Issues in Streeck's Account

98 Specific elements of Streeck's account are worth focusing on, since he either fails to address or leaves unresolved three major issues. These are his defense of a regime of small states; the relationship between the Keynes-Polanyi model and developmentalism; and finally, whether his proposal, though supposedly global, in practice only apply to the EU.

99 First, Streeck's (2021) defense of small states ("Kleinstaaterei") is problematic. The author's analysis is based on studies that compare large and small European states, without distinguishing between the performance of small, wealthier countries with a highly export-oriented economy, such as Belgium and the Netherlands, and other lower-income countries, like Portugal and Greece. Streeck points out several reasons why smaller states are potentially better able to tackle today's problems, as they tend to be more homogeneous and less complex than large states, according to Simon's account of complexity. However, Streeck does not include in his discussion the capacity of small and poor states to make this move, countries in which even the absence of adequate levels of primitive accumulation (to use Marxian terminology) makes it difficult to think of a process of national development on their own, such as the African countries that depend on international transfers to this day.²⁴

100 Streeck (2021) is right to criticize those who only think about reshaping the EU as a means of solving Europe's problems. But Streeck does not make it clear whether the solution would involve not only the dissolution of the EU, but also the construction of something entirely new. He is also unclear whether it would also be necessary to extinguish and divide the territory of large European countries, such as Germany and France, which, as populous and potentially diverse countries, fall under the concept of large states.

101 Looking beyond Europe's borders, to Brazil, the United States, Russia, China, Argentina, Australia, and others, the expectation of dividing nation-states amounts to an unrealizable utopia of small states. Such a vision reproduces the very problems Streeck identifies in his critique of supranational orders: the borders of states, although much of them may be based on armed conflicts and even the extermination of original populations, bring the historical fact that most of the world's borders are currently stabilized and are not subject of debate, at least not in the way as it was in the world order before the World War II.

102 This only highlights the difficulty of making significant progress in defending an international order dominated by small states. If the hope of Streeck's model rested solely on reducing the size of states, his proposal would already have to deal with the fact that the world is already divided into state organizations that, outside Europe, are considerably large and diverse, and which can still function as democratic regimes.²⁵

103 Indeed, Streeck's argument is not purely demographic. He links the size of a state to the homogeneity of its population and to better conditions for building a common consensus. The larger a state is, the more pluralistic its society, the more diverse its claims, the more difficult it is to maintain a democratic form of life. But the lack of clarity about the results of Streeck's defense of small statism is a weakness in his argument. Streeck is not clear, even if his discussions about Catalonia, the south of Italy, the East German states, or Scotland would imply a defense of the independence of such regions.

104 I believe that the strength of Streeck's argument does not rest on this thesis of small states ("Kleinstaaterei"). The argument in favor of an international order oriented

toward regional planning could allow large and small states to coexist and engage in cooperative relations, rather than focusing solely on economic benefit. However, I might agree that democracy is less challenging in smaller states than in larger, more diverse ones.

105 Another aspect is that the proposal of a state guided by national self-sufficiency resembles developmentalism. This economic movement seeks to elevate a country from a state of backwardness through a set of strategies, primarily promoted by the state, to improve a country's economic development. One of the proposals identified in ECLAC's thinking is the use of import substitution policies as a mechanism to promote and advance a national industry that meets the state economic needs, rather than importing products from foreign economies. At some point, Streeck's argument appears to shift towards a developmentalist perspective, although the author does not explicitly mention ECLAC developmentalist thinking or modern proposal (see Bresser-Pereira, 2020; Ahumada, 2023).

106 Although Streeck's proposal is not confined to developmentalist theory, his strategies for reducing external dependence are strikingly similar to developmentalist approaches. This raises the question of which nations would be better able to move towards national self-sufficiency, and which others would find it more difficult, or how regional planning could help overcome the problems faced by nations acting in a coordinated manner. Furthermore, a proposal like Streeck's does not consider the potentially damaging effects of such a strategy for nations that are more prominent precisely because of the export surpluses, as is the case with countries like Germany, Belgium, the Netherlands, or even South Korea.

107 This brings us to a final point: the addressee of Streeck's (2021) proposal. Although he frames it as an alternative to globalized neoliberal capitalism, in practice, the Keynes-Polanyi model applies far more to European states, particularly those in the EMU, than elsewhere. It envisions a pro-European solution that is not dependent on the EU, replacing it with a cooperative and confederated order of European states, i.e., a horizontal order. At this point, it is worth quoting the last paragraph of the German edition of the book, in which Streeck states:

As a result, on the ruins of the EU's stalled "European project", a continent could emerge of small and medium-sized peaceful states, endowed with the same rights, cooperating with each other, which have no choice but to assume democratic responsibility themselves, to which their citizens could also lead them if necessary. (Streeck, 2021, 511)²⁶

108 In fact, Streeck, on the one hand, emphasizes his position as a Eurosceptic. Still, on the other hand, he brings his confidence in the history of European integration, so that European states will continue to integrate even if the Euro ends or the EU ends. Streeck once again places his expectations in democratic responsibility, although we do not know exactly what kind of democracy Streeck has in mind. However, this may help explain why the author has paid little attention to the challenge of disintegrating an economically integrated world, since Streeck envisions only a partial withdrawal from European integration as a clearer path to a desirable future. In this sense, Streeck fails to clearly outline his proposals for Europe and the world, as Habermas does. Although Streeck's discussion encompasses the globe, the solutions are primarily focused on Europe.

4.5 A Realizable Utopia?

109 Concluding the evaluation of Habermas' and Streeck's propositions, I find that both amount to unrealizable utopias. My aim here is not to determine which is more realistic. Instead, I aim to explore the implications of both. I would stress, however, that Streeck's proposal, though it may initially appear more realistic, remains at least as unrealistic as Habermas'.

- 110 Streeck (2021) argues that the present moment provides a favorable context for considering regional planning, akin to the situation Polanyi described in 1945. Streeck compares China's position to that of the USSR in Polanyi's account, seeing it as an economic power that has so far shown no intention of becoming a new global hegemonic power. By contrast, the United States today faces challenges that prevent it from acting as the principal defender of global governance. Their commitment to globalization waned once the harms outweighed the benefits. The rise of right-wing governments in several central countries has further fueled skepticism about globalization as a solution.
- 111 Streeck (2021) also invokes the global Covid-19 pandemic to highlight the perils of international integration, as the virus spread rapidly to every country in the world. Yet, recovery was prolonged and came at a high cost, resulting in many lives lost. Many deaths resulted from governments' failure to recognize the threat, prioritizing the "economy" over people's lives amid widespread disbelief in science.
- 112 These arguments, however, invite skepticism. Streeck does not provide an in-depth conjunctural analysis but instead links the context in which he wrote the book, between 2020 and 2021, to the context in which Polanyi wrote "Universal Capitalism or Regional Planning?", looking to the end of World War II and arguing in favor of an international order based on regional planning. One must question whether China's allegedly low hegemonic ambitions are genuine, considering that in the last 20 years, China has become the main "trading partner" with most countries—a position the USSR never held—and has also expanded its military capabilities.
- 113 Streeck (2021) presents a powerful diagnosis of the present time, highlighting how we find ourselves caught between an economic and political crisis; however, he does not offer a satisfactory solution to these crises. Again, the Keynes-Polanyi model of state and international relations is not a more viable alternative than Habermas' proposal.

Conclusion

- 114 This article evaluated two proposals for addressing the diagnosed dual crisis of neoliberal capitalism: the upward solution, advanced by Habermas, and the downward solution, based on the Keynes-Polanyi state model, presented by Streeck.
- 115 The analysis of both proposals clarifies the terms of the debate and offers a comprehensive account of the challenges we face. Although neither Habermas nor Streeck offers a feasible solution to the diagnosed dual crisis of capitalism, both provide valuable insights.
- 116 The first contribution of this study is to reconstruct Habermas' and Streeck's proposals, their debate, and the assumptions underlying their disagreement. It also shows that neither Habermas nor Streeck presents a realistic utopian account, thus indicating where attention should be focused in the effort to re-embed the economy within society. The path forward lies in rebuilding the foundations of democratic life. This includes not only the foundational economy, as emphasized by Streeck, but also other non-economic social structures and institutions, the *demos*, that have been consistently attacked in recent years. Meeting this challenge requires a stronger conception of democracy, one absent from Streeck's account.

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Notes

¹ I would hereafter refer to the two English translations of these works—respectively, *Buying Time. The Delayed Crisis of Democratic Capitalism* ([2013] 2014) and *Taking Back Control? States and State Systems after Globalism* ([2021] 2024), both published by Verso.

² I am aware that neoliberalism manifests itself not only in neoliberal globalization, involving other areas such as industrial relations, social protection, national financial regulations, and privatizations, among others. Such dynamics are also the landmark of the neoliberal revolution, especially in the 1980s and 1990s. My emphasis on neoliberal globalization stems from the attempt to establish a global governance, which involved removing control over neoliberal processes from national states (see also note 13). This is important for both Habermas and Streeck, who both recognize that tackling neoliberalism today necessarily consists of dealing with the consequences of what I call here “neoliberal globalization”. Note that Streeck refers to this as “hyperglobalization”, using the terminology proposed by Rodrik ([2011] 2012).

³ I would like to clarify the meaning of “crisis” in this article. When writing about the dual crisis of neoliberal capitalism, I am not considering that this situation presents an alternative for improvement, in a Gramscian sense. We are trapped (*Steckengeblieben*) in a situation with no prospect of escape (Streeck, 2021). To represent this crisis, the imagery of the zombie is very explanatory, which may explain its recurring presence in recent popular culture. Like a zombie, neoliberal capitalism moves on. Despite being in crisis, neoliberalism is still perceived not as the cause, but as its supposed solution and as the only possible alternative: “It does not matter that the excesses and crises are now produced by neoliberalism itself; we are no longer living in a crisis of management, but in an era of management through crises” (Nunes, 2022, 60).

4 On this point, both Habermas and Streeck consider that the challenges of our time are beyond the possibilities of nation-states. They argue that, following the neoliberal globalization process, states have been left with fewer capabilities to address such issues.

5 In *Gekaufte Zeit* ([2013] 2021), Streeck argues in favor of a European Bretton Woods, as an alternative solution to the deconstruction of the European Monetary Union; in *Zwischen Globalismus und Demokratie* (2021), Streeck position changes.

6 Although Habermas was not present in this section, his diagnosis of the present time goes hand in hand with what was presented here. Habermas (2013a; 2013b; [2013] 2015) agrees with Streeck's diagnosis of *Buying Time*, but not with the solutions proposed by Streeck. Also, although there is not yet a public review of *Taking Back Control?* by Habermas, his analysis in *Ein neuer Strukturwandel der Öffentlichkeit und die deliberative Politik* (2022) points to similar challenges.

7 Habermas ([2013] 2015) is emphatic about eliminating a “mental block” that suggests a conceptual dependence between popular sovereignty and state sovereignty. In a supra-state democratic order, popular sovereignty would be extended beyond the limits of state sovereignty, which would still be preserved, although modified or reduced.

8 In *Between Facts and Norms*, Habermas ([1992] 1998) points to solidarity as a fundamental resource for the subsistence of a stable and cohesive political community. In his 2011 and 2013 works, Habermas seeks to defend the need to develop a form of solidarity with the citizens of other countries.

9 By “global players” we mean the world powers capable of leading the deliberative and decision-making process.

10 Global governance should not be understood as a positive or neutral category, as used by Rodrik ([2011] 2012). Global governance refers to the tendency to establish a framework that does not constitute a global government or state. Governance is a softer term and is not directly linked to the concept of the state, nor does it have a connotation related to democracy, and therefore apparently does not intend to threaten it, even if the way how global governance was built was in itself a threat to democracy (Pinzani, 2003; Offe, 2008; Habermas, [1998] 2001; [2013] 2015; Streeck, 2021). Global governance serves as a seemingly neutral term; it represents a form of domination without a dominator, achieved through smooth steering mechanisms based on the goodwill of representatives from international institutions, the expertise of experts, summit meetings, expert discussion rounds, and thematic conferences, including those on climate change and human health. The use of the term does not point to mechanisms for exercising power and domination, but rather to a form of action based on problem-solving, as if the ultimate goal of governance were not the consolidation of the profit-centered global capitalist order, but the construction of a good life for all. The result of global governance, then, is a multilateral order based on international norms, which presents itself in the form of equal voluntariness and normative equality of all participating states, a context in which states, when the matter demands it, are willing to voluntarily give up their sovereignty in favor of the decisions of international bodies or the outcomes of summit meetings (Streeck, 2021).

11 The article was published in the context of the inter-war period and after the outbreak of the 1929 crisis, shortly after the publication of the 1930 *Treatise on Money*, but still three years before the publication of the *General Theory of Employment, Interest, and Money*.

12 Polanyi's contribution was published shortly after the end of World War II, and one year after *The Great Transformation*.

13 Polanyi (1945) did not make it so clear what he was talking about when he highlighted “racial domination”. I agree with Streeck (2021) that Polanyi's point encompasses both French, English, and other European colonial domination, as well as the pretensions of Nazism.

14 Although Polanyi (1945) does not make it clear what these systems are, the very mention of the United States, Great Britain, and the USSR suggests that the world would be divided between these areas of influence, perhaps adding France as another former colonial power and all the members of the Allied block that won World War II. Along these lines, the world would be marked by the areas of influence of the countries encompassed by the Soviet Union, the countries of the British Commonwealth, France and its former colonies, and the US and its area of influence, at least in the Americas, as a result of the Monroe Doctrine.

15 Examples of non-economic values include minimizing external dependence and promoting social stability. Thus, even if trade across national borders could promote greater specialization and capital mobility, and therefore a more efficient resource allocation, these results may be undesirable in a Keynes-Polanyi state, as they generate unacceptable external dependence or an unacceptable separation between ownership and responsibility for capital (Streeck, 2021). Another aspect to consider is the danger of imperialist intervention in other states on behalf of investors' interests. By leaving production in the place where consumer goods are destined, this reduces the risk of extortion by other states.

16 Herbert Simon (1962) is another author considered by Streeck in his most recent work. Simon discusses the “architecture of complexity”, which seeks to trace the properties of general systems, whether physical, biological, or social. He presents three properties of complex systems: (a) complex systems are usually composed of a few distinct kinds of subsystems in various

combinations and arrangements; (b) complex systems are often nearly decomposable; (c) by appropriate "recoding," redundancy that is present in a complex system can often be made perceptible (Simon, 1962, 478). I decided not to delve deeper into this aspect, which Streeck (2021) employs to emphasize that the organization of a global system of capitalist states is too complex to consider an upward solution. Based on this argument, Streeck (2021) not only justifies his return to the dimension of the state but also argues that small states have a greater capacity to organize themselves due to their lower level of complexity and greater level of homogeneity in relation to larger states.

17 However, Streeck (2021) does not specify the areas in which there would be a preference for internal and/or external relations, leaving this open.

18 This means that a country which signs a treaty (practically unalterable, as it can only be terminated at a significant cost) that: (a) subjects its members to a common currency and, therefore, hands over control of monetary policy to an international institution like the European Central Bank; (b) commits itself to respecting a 60% debt-to-GDP ratio ceiling and a 3% public deficit-to-GDP ratio; (c) joins an area of free movement of goods, services, capital and labor; (d) commits to solve conflicts throughout an international economic court, not constituted nor controlled democratically, and whose decisions can only be overruled by the court itself.

19 For the research mentioned, country size was defined based on population, not on surface.

20 ECLAC developmentalism, whose leading exponents are Raúl Prebisch and Celso Furtado, can be considered one of the few genuinely Latin American economic approaches. ECLAC hosted Prebisch, who published his most important writings during this period, which is why this economic approach is labelled "ECLAC developmentalism". ECLAC developmentalism brings a set of thoughts and proposals aimed at turning the countries of the region into developed economies. It focuses, as the name suggests, on national strategies to lift Latin American countries out of their state of underdevelopment, including a policy of substituting imports of value-added products with domestic industrial products. The idea is to use the surplus obtained from exporting primary products to finance industrialization. On ECLAC developmentalism, see e.g., Oliveira (2018) and Scargiali (2022).

21 On this point, Pinzani (2022) points to a sociological deficit in Habermas' theory. Pinzani's critique, aimed especially at the *Theory of Communicative Action*, seems to me unfounded, whilst his criticisms could be more relevant when directed at *Between Facts and Norms* and Habermas' subsequent work.

22 Although in an interview published in *Ein neuer strukturwandel der Öffentlichkeit*, Habermas (2022) clearly states that democratic theory aligns with the critique of capitalism, especially in light of the effects of neoliberal policies imposed worldwide.

23 Streeck (2021) argues that a deliberative democracy promotes democracy in a cosmopolitan moral stance ("moralische Haltung") instead of a plebeian institution ("plebejischen Institution"), which results in democracy as a de-proletarianized value system ("Demokratie als entproletarisiertes Wertesystem").

24 Based on IMF data, Allen (2021) notes that countries such as Cape Verde, Comoros, Gambia, Lesotho, and South Sudan received international transfers amounting to more than 10% of their GDP. Additionally, a survey revealed that 47% of Gambian households reported being dependent on international transfers, including official remittances from wealthy countries, as well as private transfers made by immigrant families who send part of their income back to their country of origin. For example, see Kalantaryan and McMahon (2020) and Ratha (2021).

25 I leave aside the question of whether these democratic regimes in large states work well.

26 My own translation of the original. Interestingly, such a paragraph was not found in the English translation. Since there is no new German edition yet, we do not know if Streeck just decided to remove such a reflection from his book.

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